JANUARY 29, 2026

GILLETTE V/S ENERGIZER



Group 1- 4

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CASE OVERVIEW - THE BATTLE FOR BLADE DOMINANCE

The Conflict
Plaintiff: The Gillette Company (Market leader with the Mach3).
Defendant: Energizer Holdings, Inc. (Challenger with the Schick Quattro).
The Dispute: Gillette alleges that Energizer's new 4-blade razor infringes on their patent for "progressive blade geometry."

The Legal Challenge
To win the case, Gillette must successfully navigate two independent legal hurdles:
Patent Validity: Defending against claims that the technology was "obvious" based on prior industry designs.
Infringement Finding: Proving that a 4-blade system is "equivalent" to the 3-blade system described in the original patent (Doctrine of Equivalents).

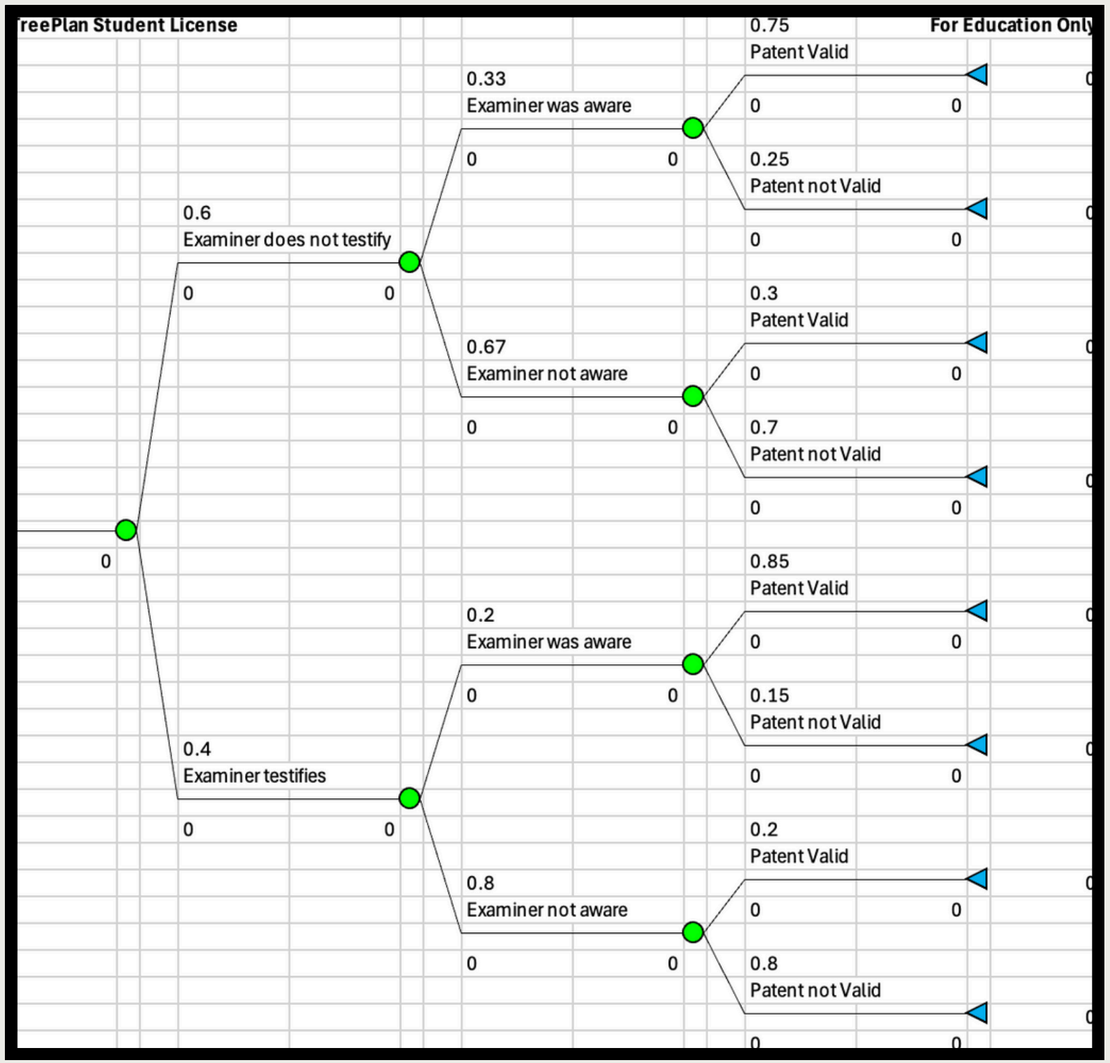
Strategic Alternatives
Accept Settlement: Take a guaranteed cash offer from Energizer to drop the lawsuit.
Proceed with Litigation: Go to trial to seek monetary damages and a court-ordered Market Hiatus to remove the Quattro from store shelves.

The Core Dilemma
Gillette must decide if the potential to protect their market monopoly through a "Market Hiatus" outweighs the high probability of losing the case and absorbing significant litigation costs.

WHAT DO WE NEED TO FIND...

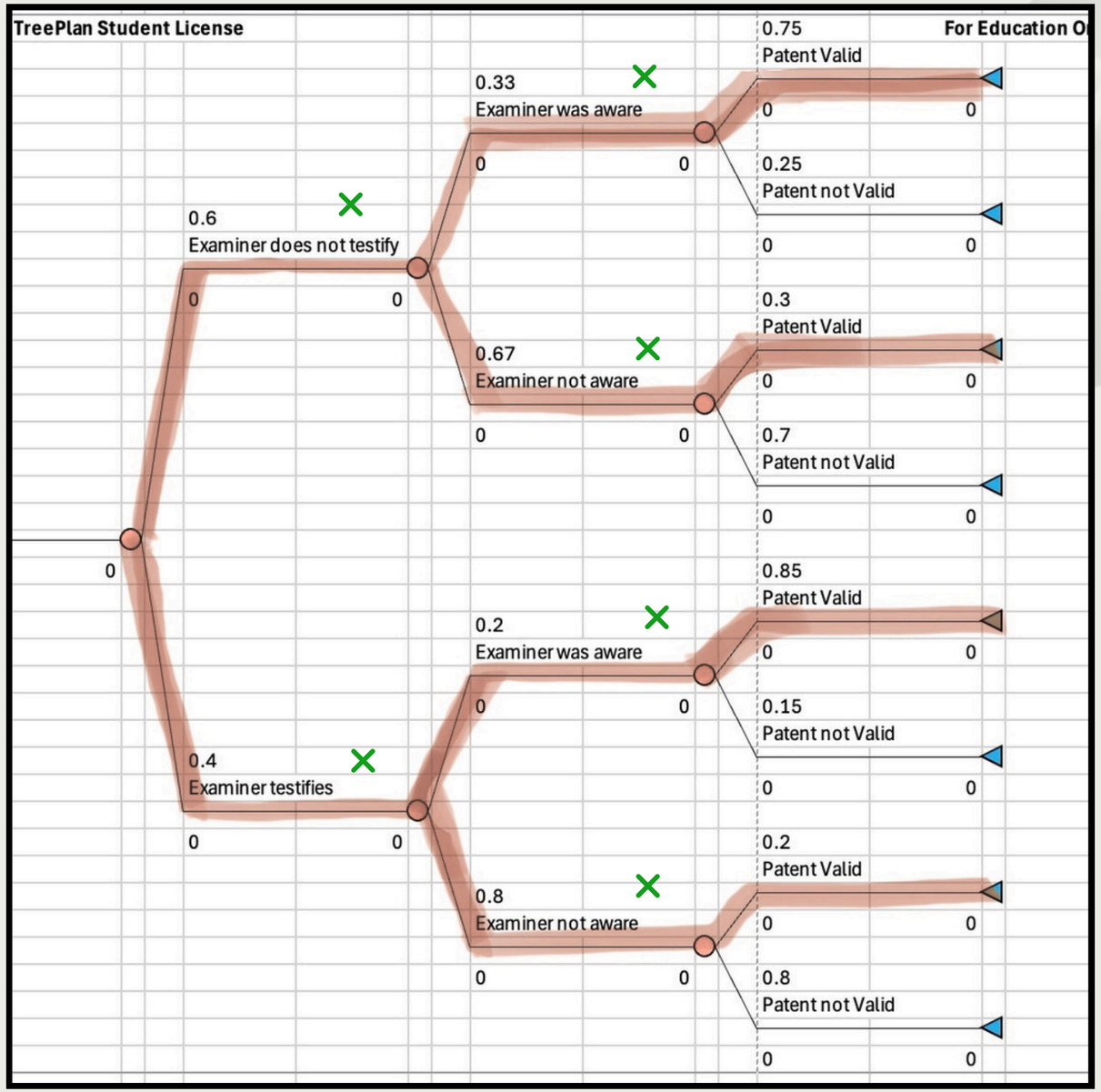
- Wether the examiner will testify or not.
- If the examiner testifies, Will examiner remember about the patent.
- If examiner testament favours Gillette, What damages they could extract from Energizer.
- If gillette wins, What will be the market impact on it’s sale
- Is it better to Settle outside court?
- What are the chances of winning if Gillette continues litigation?
- What are the risks involved?
- What can be the alternatives for gillette?
- Any recommendations that cover the pros and cons

EXAMINER'S TESTAMENT



THE PROBABILTY OF PATENT BEING VALID?

EXAMINER'S TESTAMENT



0.1485

+

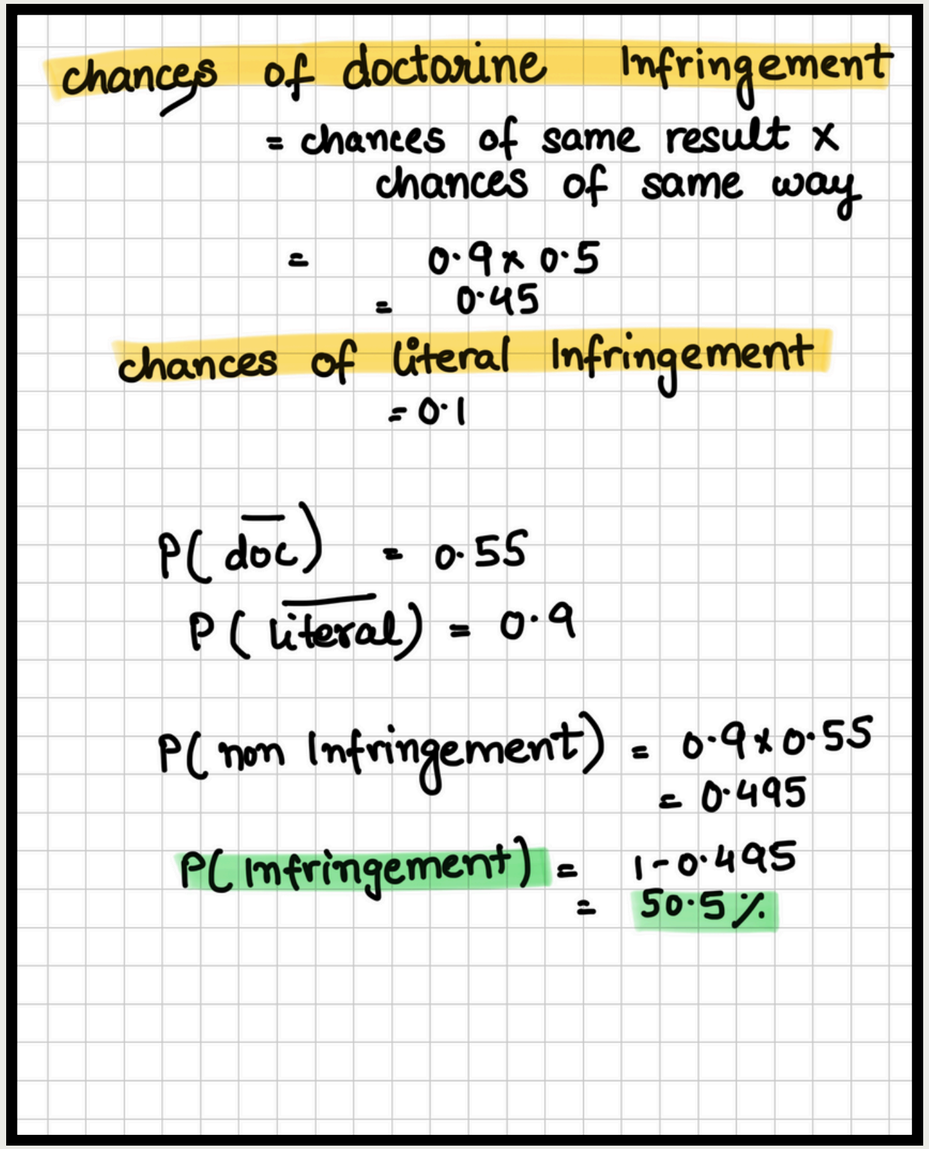
0.1206 → **P(PATENT VALID) = 0.4011**

+

0.068 **P(PATENT NOT VALID) = 0.5989**

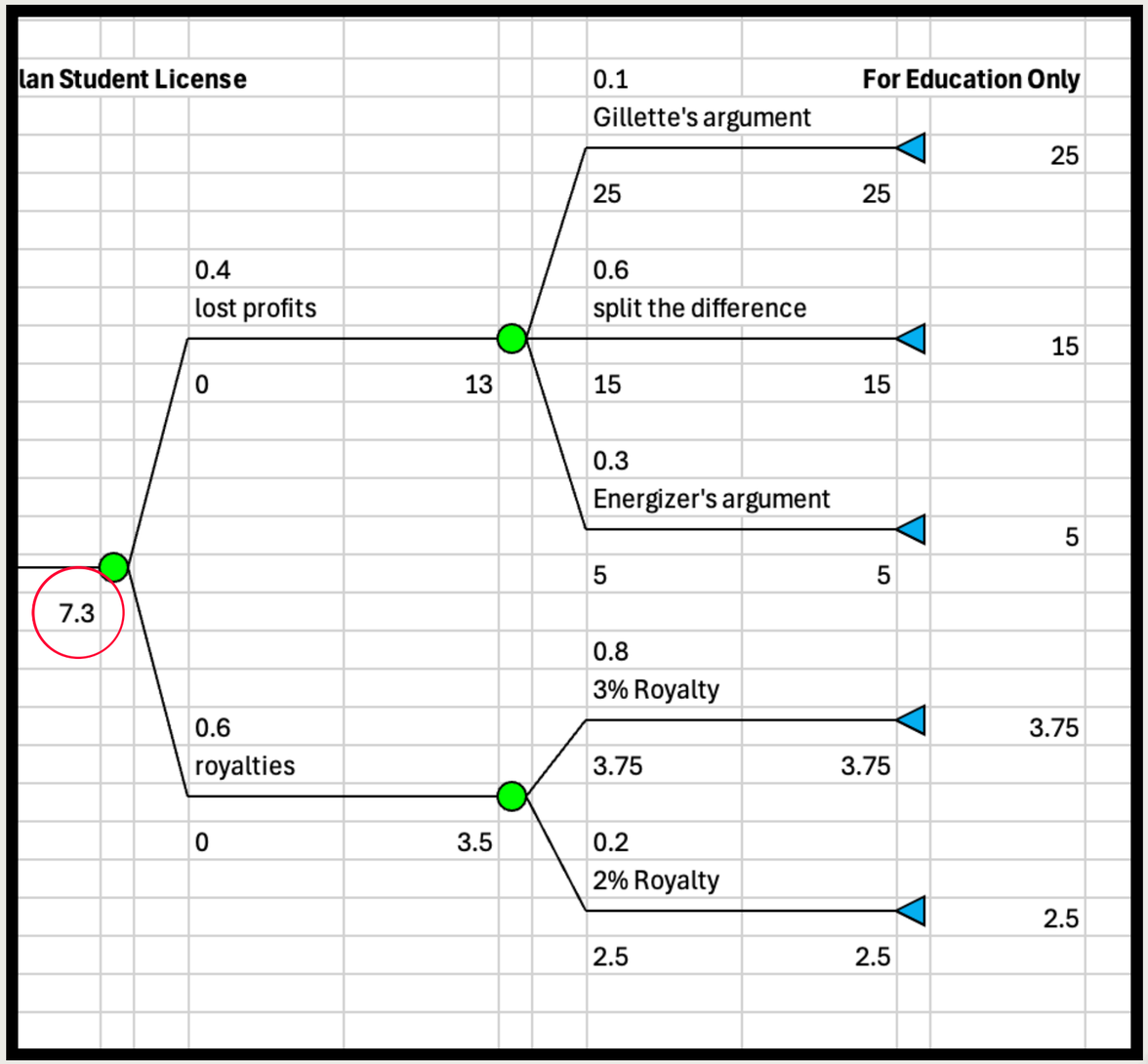
+

0.064



NOW LETS LOOK AT THE CHANCES FOR WHICH GILLETTE CAN PROVE PATENT INFRINGEMENT ?

DAMAGES



NOW ONCE WE HAVE FIND THE CHANCES OF PATENT VALIDITY AND INFRINGEMENT, LETS CALCULATE THE EXPECTED PROFIT FROM THE DAMAGES....

SO, WHAT ARE THE CHANCES OF GILLETTE WINNING THE LITIGATION?

PATENT VALIDITY

0.4011

×

INFRINGEMENT

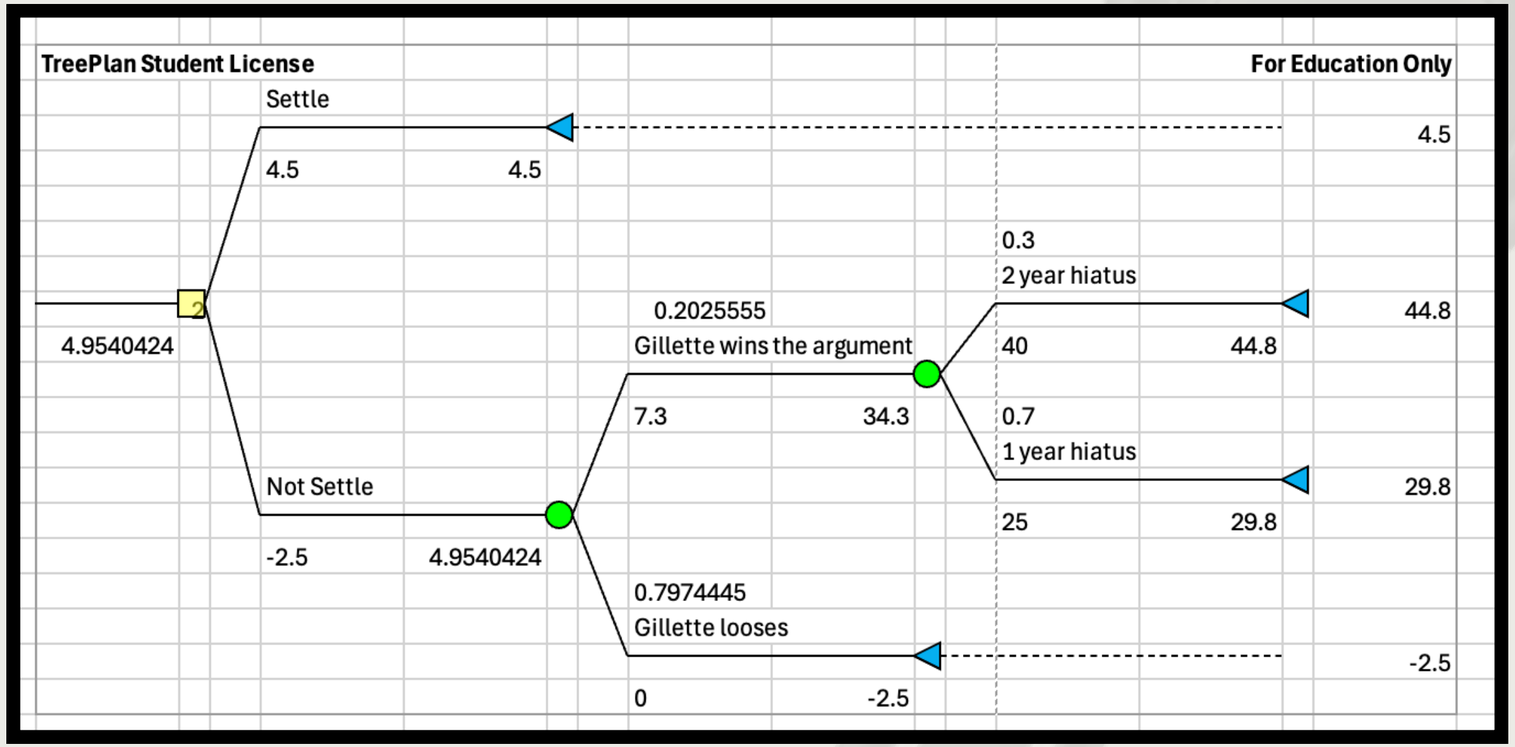
0.505

=

PROBABITY(GILLETTE WINNING)

0.2025555

SETTLE OR NOT SETTLE?



EXPECTED PROFIT FROM SETTLEMENT

4.5 Million Dollars

EXPECTED PROFIT FROM THE LITIGATION

~4.95 Million Dollars

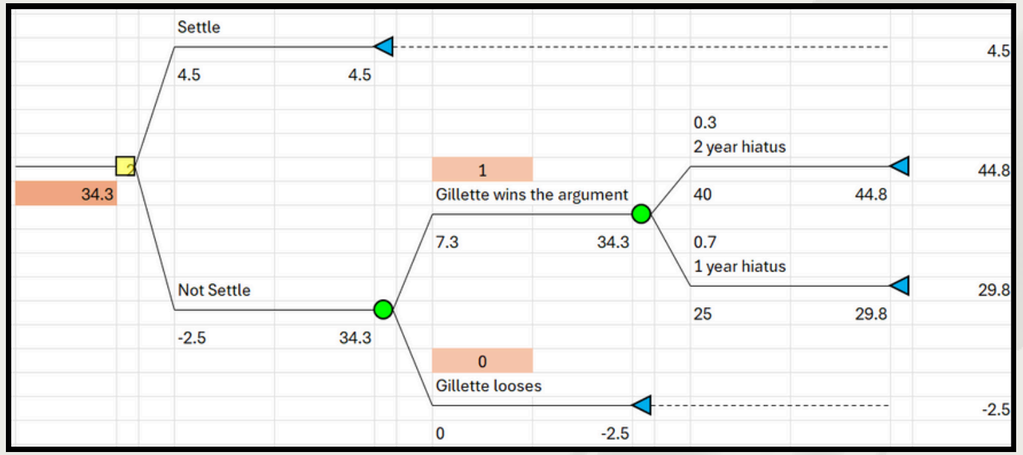
EVPI

We compare our best choice without information to our best choice with information

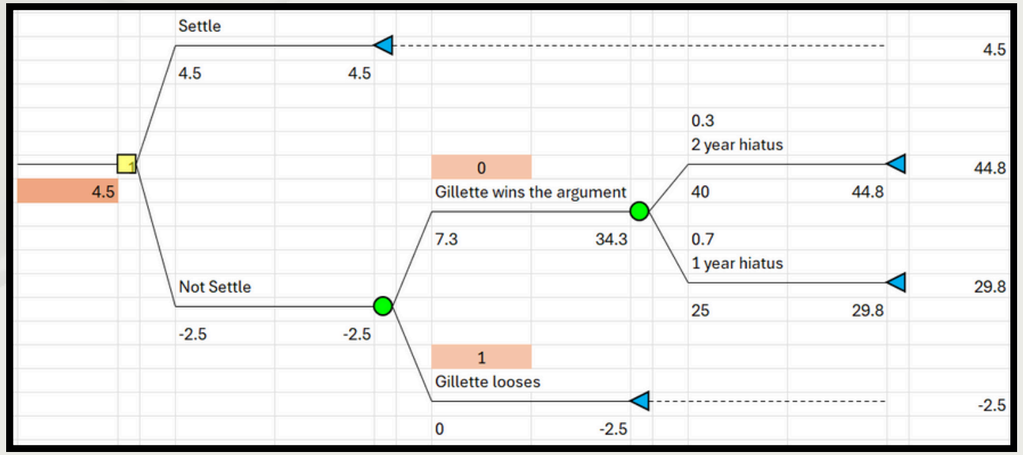
EV Without Information (EVwoPI)

Best choice is currently Litigate (EV = 4.954 M)

EV With Perfect Information (EVwPI)



Scenario A: If the info says "You will Win" (20.3% probability): Gillette will definitely litigate. The net gain is **$34.3 million**



Scenario B: If the info says "You will Lose" (79.7% probability): Gillette will avoid the trial entirely. and accept the **$4.5 million** settlement offer.

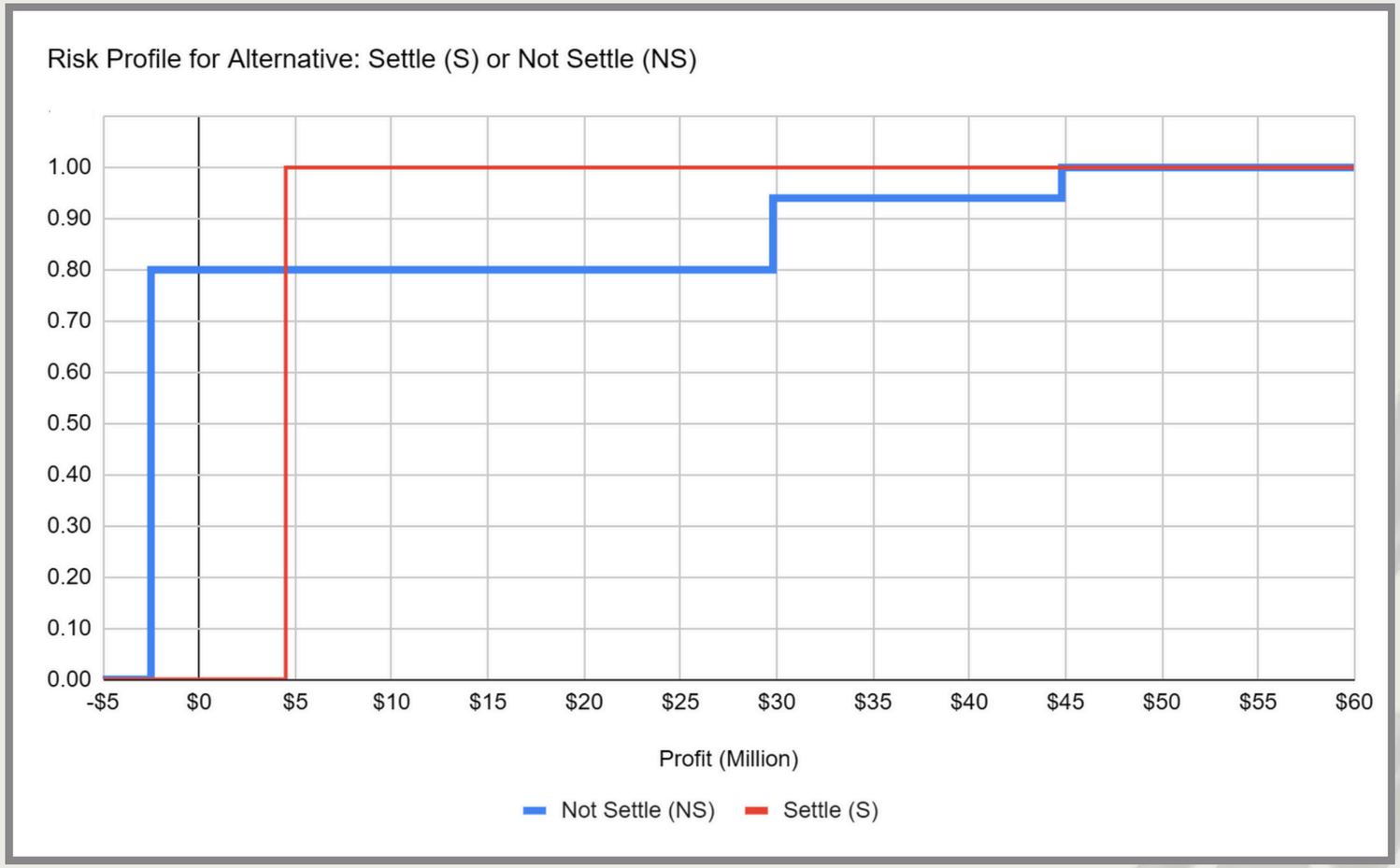
EVwPI = (0.2025 * 34.3) + (0.7975 * 4.5)

EVwPI = $10.533M

EVPI = EVwPI - EVwoPI

EVPI= $5.579M

RISK ANALYSIS



	NOT SETTLE (NS)	SETTLE (S)
Max Loss	$-2.5M	None
Max Gain	$44.8M	$4.5M
Expected Value	**$4.95M**	**$4.5M**
Risk Profile	Aggressive	Conservative

- **Not Settle (BLUE)**: This is "Riskier" because there is an 80% chance of a loss ($-2.5M). However, it has a "long tail" where you could potentially hit $44.8M.
- **Settle (RED)**: This is "Less Risky" (more stable) because the floor is higher; there is a 100% probability that your profit will be at least $4.5M.

PROS & CONS OF ALTERNATIVES

CONTINUE LITIGATION

Pros	Cons
High Reward: Potential for $34.3M in total value (Damages + Hiatus).	**High Failure Rate:** ~80% probability of losing everything + $2.5M costs.
Competitive Advantage: A victory forces Energizer off the market (Market Hiatus), protecting Mach3's dominance.	**Time Sink:** Trial and potential appeals could drag on for years, delaying the actual "Hiatus" benefit.
Deterrence: Sending a strong signal to the industry regarding "Progressive Geometry" patent enforcement.	**Negative Precedent:** An "Invalidity" ruling would permanently kill the patent, allowing anyone to copy the tech.

ACCEPT THE $4.5 MILLION SETTLEMENT

Pros	Cons
Certainty: Eliminates the 80% risk of losing the trial and receiving $0.	**Lower Potential Payout:** Forfeits the chance for a "Home Run" win (up to $34.3M).
Cost Savings: Avoids $2.5M in non-recoverable litigation expenses.	**Market Presence:** Energizer stays in the market with the Quattro, competing directly with Mach3.
Resource Allocation: Frees up executive time and R&D focus from legal battles to product innovation.	**Precedent:** May signal to other competitors that Gillette is "settlement-prone" rather than litigious.

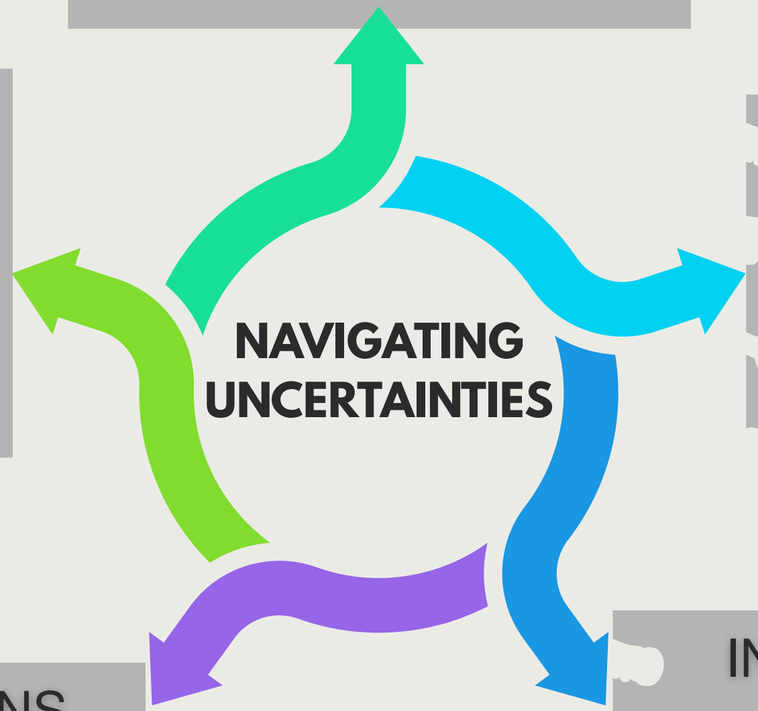
NAVIGATING UNCERTAINTIES

FINANCIAL DAMAGES

- Lost profits vs royalties
- Jury awards (high, split, low)
- Will it cover costs ?

LEGAL ISSUES

- Patent Validity
- Infringement (Literal vs DoE)
- Examiner Testimony & Knowledge
- Jury Perception



BUSINESS IMPACT

- Quattro injunction
- Market hiatus duration (1-2yrs)
- Energizer's R&D status?
- Long-term market share

KEY QUESTIONS

- Win or Lose probability
- Damages vs litigation costs
- Future business effect

INVESTIGATIONS

- Examiner status & knowledge
- Hire mock jury
- Research Energizer's alternate designs

LITIGATION OUTLOOK

P(Win)

~ 20.3 %

P(Lose)

~ 79.7 %



Expected Win Outcome

- Total Benefit = ~$36.8M
- Litigation Cost = -$2.5M
- **Net Gain = ~$34.3M**

Expected Loss Outcome

- Total Benefit = $0M
- Litigation Cost = -$2.5M
- **Net Loss = ~$2.5M**



Litigation Cost
$2.5M (Fixed Cost)

SETTLEMENT VS LITIGATION: RISK, VALUE, RECOMMENDATION

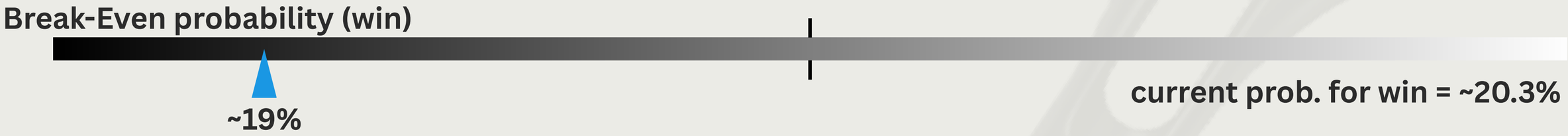
Settlement Option

- Guaranteed Value: $4.5M
- Risk: Zero (certain outcome)
- Is settling worth more? No (expected value is lower)

Litigation Option

- Expected Value: ~$4.95M
- Risk: High (~80% chance of $2.5M loss)
- Gain: High (~20% chance of ~$34.3M)

STRATEGIC THRESHOLDS & RISK PROFILE



Recommendation:

- To not settle and use fraction of $5.58M to buy “imperfect information” (mock juries/experts)
- If probability of win is atleast 25%, proceed with litigation (high risk, high reward gamble: ~$4.95M - $34.3M)
- If it is 19-25%, push settlement demand to $7.5M to $10M ($4.95+$2.5+VOI)
- If the probability of winning is less than 19%, it is better off to settle with $4.5M

CASE QUESTIONS

Three key sets of uncertainties:

- the legal issues in the case
- the damages that would be awarded if the jury finds infringement of a valid patent
- and the business impact of eliminating Quattro from the market if the injunction is granted.

- If you go to court, will you win or lose?
- If you do win or lose, what damages will be awarded?
- How will a legal victory or loss affect your future business?
- How much will it cost to litigate?

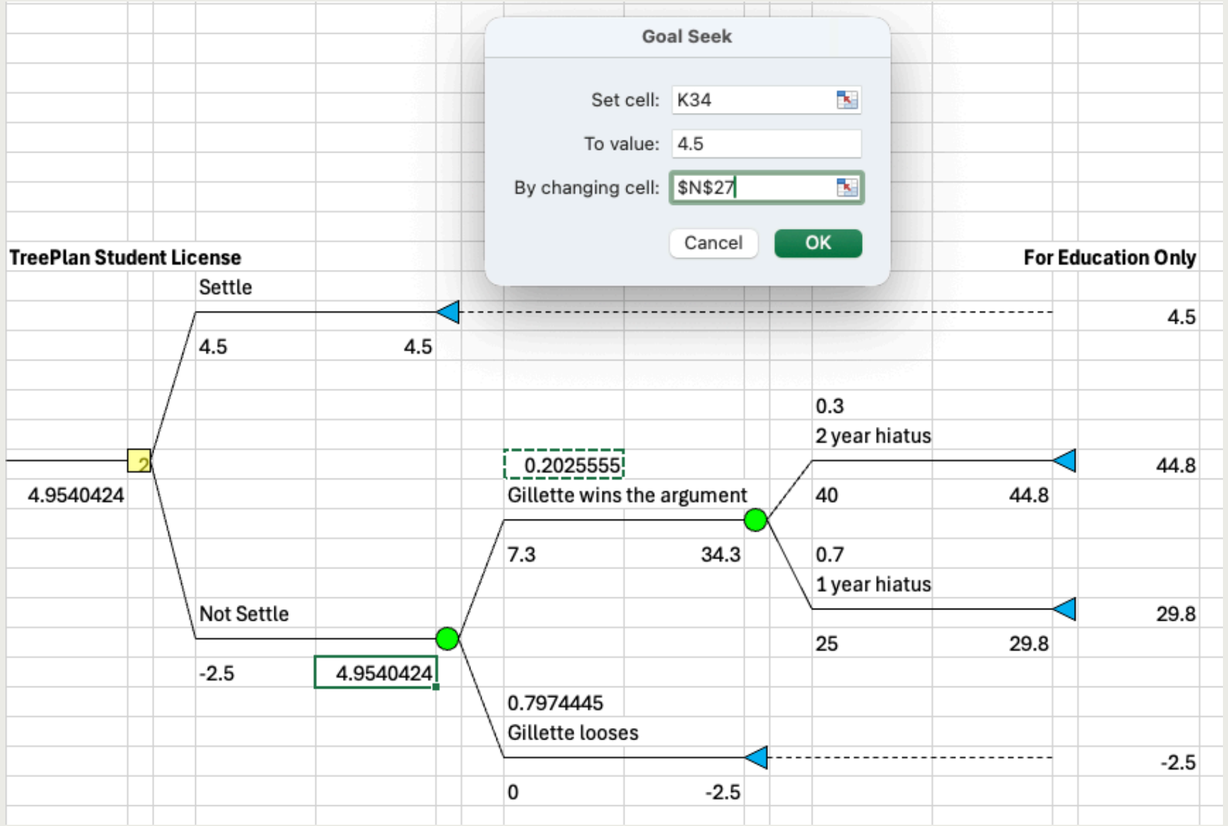
Key issues and things to consider:

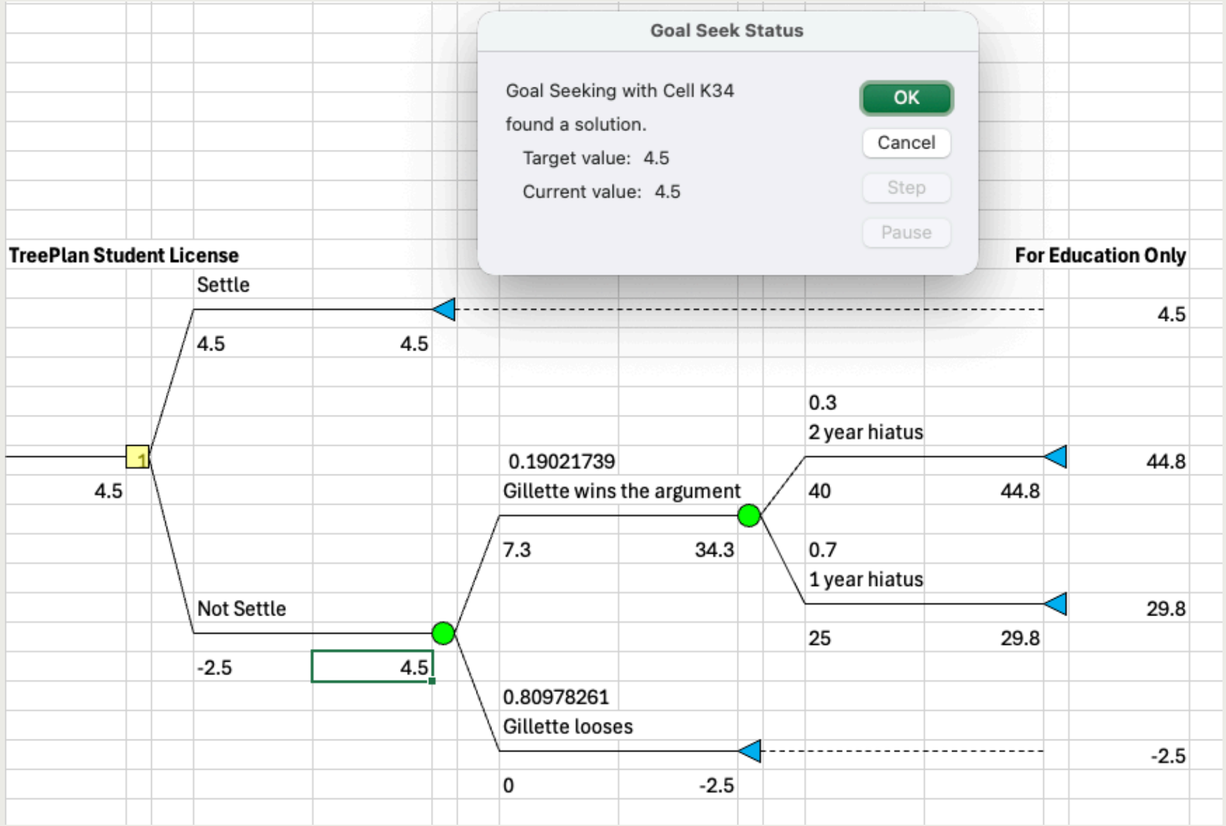
- Investigate the status of patent examiner who reviewed Gillette's patent application to see if he would be able to testify if called by Energizer,
- Review additional patent office documents to help determine whether the examiner was aware of the related patents and products at the time he reviewed Gillette's application,
- Hire a mock jury and test the validity and infringement arguments to better estimate the likelihood that a real jury would rule in Gillette's favor, or
- Investigate Energizer's research and development efforts to see how far along they are in developing alternative razor designs that might be marketed if they lose the lawsuit.
- How much would such information be worth? Would it have a significant impact on the settlement decision or settlement value?

Settlement decision:

- Is settling worth more than litigating?
  - If they were to settle, how much should they settle for?
- How risky would it be to litigate?
- What is the probability that they would be better off settling?

BREAK-EVEN PROBABILITY USING GOAL SEEK





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THANK YOU

SO MUCH!